



Retirement Saving Basics

For your Wisdom: the first three decisions that matter.

John says: Retirement planning sounds like a dragon-sized problem, but it comes down to three decisions. Make them once, then let time work.

Decision 1: Start

The best day to start was years ago. The second best is this paycheck. Even 1% of your pay counts, because the habit and the years matter more than the first amount.

Decision 2: Where

- **Workplace plan first (401(k), 403(b), TSP).** If your employer matches contributions, contribute at least enough to get the full match. A match is free money you're leaving on the table otherwise.
- **An IRA next.** Anyone with earned income can open one at a bank or brokerage. Traditional gives you a tax break now; Roth gives you tax-free withdrawals later. Younger and lower-earning savers often lean Roth.
- **Keep it simple inside the account.** A target-date fund or a broad low-cost index fund is a common, sensible starting point.

Decision 3: How much, and how to grow it

- A common long-term target is 10% to 15% of pay, including any employer match. Don't panic if you're not there; climb toward it.
- Turn on **auto-increase** if your plan has it: your contribution rises 1% a year on its own.
- Every raise, move half of the increase to retirement before it reaches checking.

Two traps to avoid

- Cashing out an old 401(k) when you change jobs. Roll it into your new plan or an IRA instead; cashing out means taxes, penalties, and lost growth.
- Stopping contributions when the market drops. That's when each dollar buys more.

My three decisions

I'll start with: _____% of pay · In: _____ · Auto-increase turned on: ☐ Yes